

Complainant and Cross-Defendant Sabrina Han. Thus Cross-Complainant has standing to assert claims based on the Operating Agreement that he is a party to. (FACC, Ex. A, section III(B).)

Pleading of Knowledge, Intentional Acts, Causation, and Damages

Cross Defendants argue that the allegation that Mr. Oli “knew of the existence of the Operating Agreement” (FACC ¶ 71) is conclusory and does not allege knowledge of any specific contractual terms. (Motion at p. 14: 20-22.) This allegation can be reasonably inferred by the actions of the Parties since it is undisputed that Cross-Defendant Thalbir Oli managed the Jug Shop five days a week, had substantial experience in the liquor store business, and was offered membership in OM NAMAHA, LLC, the entity that wholly owns and controls the Jug Shop. (FACC ¶¶ 16-24.)

Cross-Defendants further argue that pleading alleges that Cross-Defendant Thalbir Oli merely “facilitated” acts by Cross-Defendant Sabrina Han, without identifying any specific act he took, when it occurred, or how it was designed to induce a breach. (Motion at p. 14: 22-24.) Cross-Defendants provide a case citation for the proposition that conclusory allegations of facilitation or generalized “patterns of misconduct” are insufficient to plead intentional interference. (Motion at p. 14: 24-26; citing *A.F. Arnold & Co. v. Pacific Professional Ins., Inc.* (1972) 27 Cal.App.3d 710, 715.)

First, the *A.F. Arnold* case did not stand for the proposition cited. It did not mention conclusory allegations of facilitation or generalized “patterns of misconduct” but instead discussed the differences between the two torts of interference with prospective economic relationship and intentional interference with contractual relations. (*A.F. Arnold & Co. v. Pacific Professional Ins., Inc.* (1972) 27 Cal.App.3d 710, 715.) Second, the FACC alleges more than passive association: it alleges Oli conspired with Han, acted as a de facto liquor-store operator through Han, facilitated Han’s breaches, and intentionally disrupted the business relationship. (FACC ¶¶ 24-25, 38-41.)

Cross-Defendants’ Demurrer as to Plaintiff’s fourth cause of action for intentional interference with contractual relations is overruled.

Conclusion

For the reasons analyzed above, **Cross-Defendants’ Demurrer to the FACC is overruled in its entirety.**

8. 9:00 AM CASE NUMBER: C24-03078

CASE NAME: THALBIR OLI VS. GOVIND SHAHI

*HEARING ON MOTION IN RE: TO STRIKE 1ST AMENDED CROSS COMPLAINT

FILED BY: OLI, THALBIR

TENTATIVE RULING:

Introduction

Cross-Defendants THALBIR OLI, and SABRINA HAN's Motion to Strike. The Motion to Strike relates to (i) conclusory punitive damages allegations not supported by ultimate facts under Civil Code section 3294; (ii) improper requests for attorney's fees and restitution absent any pleaded legal basis; and (iii) improper and prejudicial allegations that misstate or contradict the written agreements attached as exhibits and incorporated into the FACC.

For the following reasons, the **Motion to Strike is granted with leave to amend for the attorney's fees requests and denied as to all other requests.**

Defendants request that the following portions to be stricken:

1. Page 13, ¶ 68: "...were malicious, willful and oppressive... For these intentional malicious acts as set forth in this complaint, Sushovan is entitled to an award of punitive damages..."
2. Page 14–15, ¶ 77: "Oli's conduct... was despicable... performed with fraud, oppression or malice so as to justify an award of exemplary or punitive damages..."
3. Page 15, ¶ 78: "Sushovan suffered damages, including punitive damages..."
4. Prayer for Relief, ¶ 2: "For punitive and exemplary damages..."
5. Prayer for Relief, ¶ 3: "For an order awarding... reasonable attorney's fees..."
6. Prayer for Relief, ¶ 4: "For an order of Restitution..."
7. Page 13–14, ¶ 72: "...willfully fail to provide sufficient capital and managerial contributions, intentional failure to participate in repaying debts to third party creditors... intentional withholding of contributing towards OM's startup expenses..."
8. Page 14, ¶¶ 74-76: "...Oli engaged in... misconduct to improperly pressure and/or facilitate Sabrina to breach her contractual obligations by... failing to participate in repaying debts to third party creditors... withholding of contributing towards OM's startup expenses..."

Meet and Confer Requirement

Cross-Defendants satisfied their meet and confer requirement regarding their Demurrer in detailing their meet and confer efforts with Plaintiff's counsel in the Declaration of Narayan P. Bhandari. On January 28, through February 4, 2026, the parties exchanged meet and confer emails and were unable to connect by telephone. (Bhandari Decl. at ¶¶18-28.)

Legal Standard

A court's determination of a motion to strike is a matter within its discretion. (*Clements v. T.R. Bechtel Co.* (1954) 43 Cal.2d 227, 242.) When ruling on a motion to strike, the court must read the allegations subject to the motion as a whole, with all parts in their context, and assume their truth. (*Clauson v. Superior Court* (1998) 67 Cal.App.4th 1253, 1255; *Spielholz v. Superior Court* (2001) 86 Cal.App.4th 1366, 1371.) As with demurrers, the grounds for a motion to strike must appear on the face of the pleading under attack, or from any matter which the court may judicially notice. (Civ. Proc. Code § 437.) A motion to strike may not be based on "extrinsic evidence showing that the allegations are 'false' or 'sham.'" Such challenges lie only if these defects appear on the face of the complaint, or from matters judicially noticeable." (Weil & Brown, Cal. Prac. Guide Civ. Pro. Before Trial, ¶7:168 (TRG 2023).) Scandalous allegations can be properly stricken. (*Bartling v. Glendale Adventist Medical Center* (1986) 184 Cal.App.3d 961, 970.) Moreover, matters which are not essential or relevant to any statement or claim for relief should also be stricken. (C.C.P. § 431.10(b)(1), (2).)

The court may strike any irrelevant, false, or improper matter from any pleading. (Code Civ. Proc., § 436(a).) The court may also strike out all or any portion of any pleading not drawn in conformity with the laws of this state. (Code Civ. Proc., § 436(b).) "Irrelevant matter," as the term is used in section 436, means "immaterial allegation." (Code Civ. Proc., § 431.10(c).) Code of Civil Procedure § 431.10(b) defines "immaterial allegation" as, among others, a demand for judgment requesting relief not supported by the allegations of the complaint or cross-complaint.

Analysis

Punitive Damages

Punitive damages may be awarded in cases of "intentional misrepresentation, deceit, or concealment of a material fact." (Civil Code § 3294 (c)(3).) Explained above in the Demurrer analysis, Plaintiffs have adequately pled their claim for

promissory fraud to withstand attack on the pleadings. A properly pleaded fraud claim will itself support recovery of punitive damages. No allegations of "malice" or intent to injure plaintiff are required, because fraud is an alternative basis for recovery. (*Stevens v. Sup. Ct. (St. Francis Med. Ctr.)*(1986) 180 Cal.App.3d 605, 610.) Since the fraud claim is sufficiently pleaded, the court denies the motion to strike punitive damages.

Attorney's Fees

In California, "a prevailing party is entitled to attorney's fees only when specifically authorized by statute, contract or law." (*Department of Forestry & Fire Protection v. Le Brock* (2002) 96 Cal.App.4th 1137, 1140.) Here, Cross-Complainant has not pled that he is entitled to attorney's fees via statute, contract, or law. Cross-Defendants' motion to strike is granted with leave to amend as to attorney's fees.

Restitution

Under the law of restitution, an individual may be required to make restitution if he is unjustly enriched at the expense of another. (*Ghirardo v. Antonioli* (1996) 14 Cal.4th 39, 51.) A person is enriched if he receives a benefit at another's expense. (*Id.*) The term "benefit" denotes any form of advantage; thus, a benefit is conferred not only when one adds to the property of another, but also when one saves the other from expense or loss. (*Id.*)

FACC alleges that Cross-Defendants received benefits from Cross-Complainant's payments, business expenditures, and efforts while refusing to contribute or repay as promised. Restitution may be available as an alternative remedy where a defendant has been unjustly enriched. The FACC's restitution request is tied to the same factual allegations underlying the contract, fraud, and interference claims.

Allegations that Contradict Attached Exhibits

Cross-Defendants contend that the FACC repeatedly alleges contractual duties and obligations that are contradicted by the written agreements attached as exhibits and incorporated into the pleading, including assertions that the Operating Agreement imposed obligations requiring Cross-Defendant Sabrina Han to personally: (1) provide sufficient capital and managerial contributions; (2) repay debts to third-party creditors; (3) contribute toward startup expenses; and (4) ensure continued operation of Jug Shop Liquors or prevent eviction.

These allegations are rooted in Section III of the Operating Agreement and the breach of oral agreement. (FACC ¶¶ 42-50; FACC, Ex. A, section III.)

Conclusion

In consideration of the above, **Motion to Strike is granted with leave to amend for the attorney's fees requests and denied as to all other requests. Cross Complainant must file amended pleadings within 15 days of service of notice of entry of this order.**

9. 9:00 AM CASE NUMBER: C26-00015
CASE NAME: ALONDRA SALAZAR CRUZ VS. VOLKSWAGEN GROUP OF AMERICA, INC.,
HEARING ON DEMURRER TO: COMPLAINT
FILED BY: DIRITO BROTHERS WALNUT CREEK, INC.,
TENTATIVE RULING:

Defendant Dirito Brothers Walnut Creek, Inc., dba Dirito Brothers Walnut Creek ("Defendant") brings the instant demurrer to the fourth cause of action for negligent repair in the complaint of plaintiffs Alondra Salazar Cruz and Jarek Rusich ("Plaintiffs"). Defendant argues that Plaintiffs failed to plead sufficient facts to properly state the fourth cause of action for negligent repair and that the cause of action is also barred by the economic loss rule.

For the reasons discussed below, the Court OVERRULES Defendant's demurrer to Plaintiffs' fourth cause of action for negligent repair.

Meet and Confer

The meet and confer requirement has been satisfied. (Decl. of Lationa Simpson-James, ¶¶ 2-6; CCP, § 430.41, subd. (a)(3)(B).)

Legal Standard for Demurrer

In ruling on a demurrer, a court must treat as true all properly pleaded material facts contained in the complaint, but not contentions, deductions or conclusions of fact or law. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) "We also accept as true facts which may be inferred from those expressly alleged." (*Cundiff v. GTE Cal., Inc.* (2002) 101 Cal.App.4th 1395, 1405.) A demurrer challenges "the sufficiency of the allegations in a complaint as a matter of law," not the truth of the factual allegations in the pleading or the pleader's ability to